Lior Shabtai

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Nationality: Israeli, Hungarian

Education

Kellogg School of Management, Northwestern University — *Evanston, IL*
Ph.D. in Finance — *June 2027 (expected)*

Hebrew University of Jerusalem — *Jerusalem, Israel*
M.A. in Financial Economics, *magna cum laude* — *2021*
B.A. in Economics and History (Dual Major), *magna cum laude* — *2019*

References

Efraim Benmelech (Co-Chair)
Henry Bullock Professor of Finance & Real Estate
Kellogg School of Management
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Carola Frydman (Co-Chair)
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Joel Mokyr
Robert H. Strotz Professor of Arts and Sciences
Department of Economics
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Diego Känzig
Assistant Professor of Economics
Department of Economics
Northwestern University
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Research Interests

Corporate Finance, Innovation, Climate, Labor Economics

Job Market Paper

Generalist Inventors and Induced Innovation with Yudan Ying

Abstract. This paper provides evidence that workers with broader experience play a key role in firms' response to changing investment opportunities. Using patent records on 68,000 inventors at U.S. manufacturing firms (1992–2021) and a reduced-form shift-share design, we find that broader inventors increase green patenting more than narrower inventors following energy-cost shocks that raise firms' returns to green innovation. The induced green patents are more likely to involve new collaborators and are less scientifically important than these inventors' usual green patents, while their market value shows no change. The findings are not explained by prior green experience, lower observed inventor ability or team match quality, cross-firm mobility, or technological distance from prior work. These findings suggest that firms draw on versatile inventors to undertake projects that become viable after energy-cost shocks.

Working Papers

The Unintended Consequences of Carbon Markets [SSRN]

Abstract. This paper shows that carbon markets inadvertently create inefficiently weak incentives for green innovation in hard-to-abate industries by allowing firms to rely on purchasing emission allowances rather than independently decarbonizing. A triple-difference analysis of the European Union Emissions Trading System (EU-ETS) finds that the rise in green patenting is concentrated among easy-to-abate firms, with no comparable increase among hard-to-abate firms. A directed technical change model of a carbon market with sectoral differences in abatement costs shows that carbon markets inefficiently direct most innovation efforts toward decarbonizing the easy-to-abate sector. Socially optimal sector-specific research subsidies redirect innovation to support a clean transition in the hard-to-abate sector and increase welfare by 3.8% in consumption-equivalent terms. These subsidies need to be nearly three times as large in present value as those provided to innovators in the easy-to-abate sector.

The Decline of Productivity-Enhancing R&D with Efraim Benmelech

Abstract. We show that the changing composition of corporate R&D can help explain slower productivity growth despite rising R&D spending. Classifying U.S. public firms' R&D over 1963–2022 using input–output tables, we document a shift toward consumer-oriented innovation and away from process innovation after around 2000. Following four decades of relative stability, the consumer share doubled and the process share fell 40 percent. Industry-level analysis shows that only process R&D has a positive and significant relation with measured TFP growth. A counterfactual retaining the 2000 composition of R&D implies 37 percent higher average annual TFP growth over 2001–2021, without additional spending. Most of the difference reflects reallocation toward consumer-oriented industries.

Work in Progress

Unfinished Business: The Long Ascent of Women into Corporate Leadership with Richard B. Baker, Carola Frydman, Grant Goehring and Eric Hilt

Presentations

CEPR Climate Change and the Environment Symposium 2026
BI/NBER/NYU Climate and Nature Finance Conference (poster) 2026
MFA Annual Meeting 2026
Kellogg Finance Brownbag 2024-2026

Discussions

FIRS 2024

Professional Activities

Refereeing: *Journal of Financial Economics*

Research Assistance Experience

Kellogg School of Management: Efraim Benmelech (2024), Carola Frydman (2022–2023)

Hebrew University of Jerusalem: Yishay Yafeh (2020–2021), Eric Gould (2020–2021)

Teaching Assistance Experience

Kellogg School of Management, Northwestern University

- *Managerial Finance I and II* (Executive MBA; Michael Fishman and Artur Raviv), 2023 – 2026
  Teaching evaluations: median 6/6; average 5.61/6.

Hebrew University of Jerusalem

- *Introductory Microeconomics* (Econ BA; Asaf Zussman), 2018 – 2020; Head TA, 2019 – 2020
- *Introductory Macroeconomics* (Econ BA; Yannay Spitzer), 2018 – 2020; Head TA, 2019 – 2020

Scholarships & Awards

Kellogg School of Management, Northwestern University

- Roberta Buffett Institute International Conference Travel Award 2026
- The Graduate School Conference Travel Grant 2026
- PhD Fellowship 2021–Present

Hebrew University of Jerusalem

- Dean's Prize, Business School 2021
- Dean's List, Business School 2020
- Scholarship for Outstanding MA Students, Social Sciences 2019
- Financial Economics Program Scholarship, Business School 2019
- Dean's List, Humanities 2019
- Prize for Outstanding Students, Department of History 2019
- Honors List, Department of Economics 2018, 2019
- Dean's Prize, Humanities 2017

Other

- Horowitz Fund Scholarship, KKL–JNF 2019

Skills

Programming Languages: MATLAB, R, Stata, Python, SQL
Languages: Hebrew (native), English (fluent), Italian (intermediate), French (basic)